

Member ID: _____

Time: _____

Rank: _____



BANKING AND FINANCE

(145)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Short Answer (12 @ 2 points each) _____ (24 points)

Job 1: Rate of Return (5 @ 2 points each) _____ (10 points)

Job 2: Loan Amortization (23 @ 1 point each) _____ (23 points)

Job 3: Mutual Funds (8 @ 2 points each) _____ (16 points)

TOTAL POINTS _____ (***123 points***)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application of knowledge.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals unless otherwise indicated
- Assume employees earn overtime for any hours worked over 40 in a week unless otherwise instructed
- All time calculations are rounded to the nearest quarter hour
- Use 6.2% for Social Security Tax on the first \$100,000 in wages
- Use 1.45% for Medicare Tax for all wages
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax
- Assume that no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

Multiple Choice:

Identify the letter of the choice that *best* completes the statement or answers the question.

1. Who sets the capital reserve requirements for U.S. banks?
 - a. The Governor of the Board
 - b. The President of the U.S.
 - c. The Federal Reserve Bank
 - d. The Department of the Treasury
2. Commercial banks conduct _____.
 - a. only business banking
 - b. only personal banking
 - c. both business and personal banking
 - d. only banking for commercial lending
3. Which one of these is not an income source for a bank?
 - a. Interest on savings accounts
 - b. Interest on commercial loans
 - c. Overdraft fees
 - d. Online bill payment fees
4. Which is the most liquid for a bank?
 - a. Certificates of deposit
 - b. Checking accounts
 - c. Signature loans
 - d. Mortgages
5. Which ratio represents the amount earned on each dollar invested?
 - a. ROA
 - b. ROE
 - c. Working Capital
 - d. EPS
6. Which act established the basic banking system as it is used today?
 - a. National Banking Act of 1864
 - b. Federal Reserve Act of 1913
 - c. Banking Act of 1933
 - d. Banking Specialty Act of 1920
7. Which act allowed using substitute checks to process checks electronically?
 - a. Monetary Control Act of 1980
 - b. Glass-Steagall Act
 - c. Emergency Economic Stabilization Act of 2008
 - d. Check 21

8. Money that is based on some item of value is _____.
a. representative money
b. fiat money
c. commodity money
d. both representative and fiat money
9. Securities a bank purchases from the federal government and deposits that are due that bank from other banks are called _____ reserves.
a. excess
b. fractional
c. primary
d. secondary
10. The _____ is the nominal rate of interest which is calculated per year and the _____ represents the effect of compounding.
a. APR; APY
b. APY; APR
c. discount rate; prime rate
d. prime rate; discount rate
11. A full endorsement is another name for a(n) _____ endorsement.
a. blank
b. restrictive
c. special
d. open
12. Charge cards _____.
a. must be paid in full at the due date
b. minimum payment must be paid by the due date
c. are directly linked to your checking account
d. charge a flat fee per transaction
13. Using deposits to generate revenue by putting deposits to work via loans is called _____.
a. asset allocation
b. asset transformation
c. loan diversification
d. deposit regeneration
14. Which one of these bank customers' best represents adverse selection?
a. Customer A who accepts 12% loan interest and has a 75% potential default rate.
b. Customer B who accepts 12% loan interest and has a 5% potential default rate.
c. Customer C who accepts 5% loan interest and has a 5% potential default rate.
d. None of them represent adverse selection.

15. Home equity loans are _____.
a. also considered first mortgages
b. also considered second mortgages
c. no longer legal
d. not backed by any collateral
16. Rates for installment loans are usually _____.
a. based on an index
b. fixed
c. variable
d. variable and based on an index
17. A line of credit a bank offers to a customer works similarly to a _____ card.
a. credit
b. diner's
c. debit
d. prepaid
18. What is a loan charge-off?
a. A loan that is paid in full before the due date.
b. A loan that is at least 90% collectible by the due date.
c. A loan that has been deemed uncollectible.
d. A loan in which the interest has been forgiven.
19. Which of these steps comes first in the credit approval process?
a. The underwriter reviews the loan for soundness.
b. The borrower reads the disclosure statements and signs the closing documents.
c. The bank builds a loan file for the applicant.
d. The credit application is completed by the applicant.
20. Which act guarantees consumers the right to dispute information within in a credit report?
a. The Truth in Lending Act
b. The Consumer Credit Protection Act
c. The Fair Credit Reporting Act
d. The Fair Credit Billing Act
21. What does the term leverage mean as it applies to loans?
a. It is the amount of debt already obtained.
b. It measures the ability of how quickly an asset can become cash.
c. It refers to a loan without collateral.
d. It refers to the measurement of equity you already have.

22. Which statement is *not* true regarding ARMs?
- When overall interest rates are low, ARM rates usually don't vary much from conventional rates.
 - ARM rates always start higher and then decrease over the mortgage.
 - In times of rising interest rates, ARMS may offer a good starting point.
 - An ARM is better suited for a homeowner that plans to be in a house a short time.
23. Mortgage payments usually consist of _____.
 - principal, interest, taxes and utility costs
 - principal, interest, insurance and utility costs
 - principal, interest, and insurance
 - principal, interest, taxes and insurance
24. Problems of the 2008 financial crisis stemmed from _____.
 - corporate debt
 - mortgage-backed securities
 - reverse mortgages
 - consumer debt
25. Which statement is true regarding Chapter 7 and Chapter 13 bankruptcy?
- Chapter 7 stays on your credit report for 7 years.
 - Chapter 7 is known as a reorganization.
 - Chapter 13 stays on your credit report for 7 years.
 - Chapter 13 stays on your credit report for 10 years.

Short Answer: (12 @ 2 point each = 24 points)

1. Rank these lending institutions in descending order (lowest APR being number 1) according to their APRs for a \$10,000 two-year loan.

Lending Institution	APR		Rank
East Meadow Savings	9 ½%	A.	
Clinton Park Credit Union	9%	B.	
Tivoli Trust	9 3/8%	C.	
First Bank of Rhinecliff	9.45%	D.	
Columbia Consumer Finance Corp.	9 9/16%	E	

2. You open a savings account with \$1,000 that pays 2% at an online savings bank. What will be the total balance in the account after 3 years if it is compounded quarterly? How much interest was earned?

A. Balance after compounding: _____

B. Interest earned: _____

3. You paid FICA taxes of \$3,650.11 this year. If the FICA tax rate is 7.65, what was your annual gross income?

4. Mary was born in 1956 and turned 62 in 2018. For people turning 62 in 2018, the formula for computing Social Security benefits is 90% of the first \$680, 32% of the monthly earnings between \$680 and \$4,100 and 15% of the monthly earnings over \$4,100. Mary's monthly earnings were \$2,300. What is Mary's full monthly retirement benefit?

5. You buy common stock in Company A on January 1. The annual dividend is \$1.40. You purchased the stock for \$57.40. What is the yield of this stock?

A. Yield: _____

If the current price of the stock is \$59.60 on December 31, what is the rate of return if you decide to sell?

B. Rate of Return: _____

6. Your school district's total budgeted expenses last year were \$6,000,000. Estimated income from other sources was \$1,800,000. The total assessed value of all taxable property in the district last year was \$39,000,000. Find the property tax rate needed to meet expenses.

Property Tax Rate: _____

Production Section:

Job 1: Real Estate Rate of Return (2 points each blank--10 points)

Complete the table calculating the rate of return on the initial cash investment.

	Cash Investment	Monthly Rental Income	ANNUAL EXPENSES		Rate of Return
			Interest on Mortgage	Other	
1.	\$23,000	\$600	\$2,800	\$2,100	
2.	\$35,000	\$800	\$1,800	\$3,100	
3.	\$41,000	\$1,600	\$10,200	\$9,800	
4.	\$13,000	\$400	\$2,100	\$1,550	
5.	\$33,000	\$700	\$2,500	\$2,050	

Job 2: Loan Amortization (1 point each blank--23 points)

Complete the table based on a \$17,500 loan amortized over 5 years with a 5.5% annual interest rate.

	Month	Loan Payment	Interest	Principal	Loan Balance
					\$17,500.00
1.	1	\$334.27			
2.	2				
3.	3				
4.	4				
5.	5				
6.	6				

Job 3: Mutual Funds (2 points each blank--16 points)

Complete the table calculating the commission and percentage rate of commission for each mutual fund.

	MUTUAL FUND	NAV	OFFER PRICE	AMOUNT OF COMMISSION	RATE OF COMMISSION
1.	Cyber Net Fund	18.87	19.26		
2.	Draper Energy Fund	51.12	53.76		
3.	Ethan Pacific Fund	88.75	97.00		
4.	Wu Equity Fund	68.64	71.84		